



End Term (Odd) Semester Examination November 2025

Roll no.....

Name of the Course and semester: BHM & 3rd Semester

Name of the Paper: Hotel Accounting

Paper Code: BHM 305

Time: 3 hour

Maximum Marks: 100

Note:

- (i) All the questions are compulsory.
- (ii) Answer any two sub questions from a, b and c in each main question.
- (iii) Total marks for each question is 20 (twenty).
- (iv) Each sub-question carries 10 marks.

Q1.

(2X10=20 Marks)

- a) Explain in detail the objectives of accounting and discuss how accounting concepts and conventions support fairness and accuracy in hotel accounts. (CO1)
- b) Describe the relevance of accounting terminology used in day-to-day hotel business operations. (CO2)
- c) Journalize the following transactions in the books of M/s Hill View Hotel for the month of April 2025: (CO2)
 - 1. Apr 1: Commenced business with cash ₹2,50,000
 - 2. Apr 3: Purchased furniture for ₹40,000
 - 3. Apr 5: Bought goods on credit from M/s Aroma Foods for ₹55,000
 - 4. Apr 7: Cash sales made for ₹32,000
 - 5. Apr 12: Paid salary ₹12,000
 - 6. Apr 15: Paid electricity bill ₹6,500
 - 7. Apr 18: Returned goods to M/s Aroma Foods worth ₹5,000
 - 8. Apr 25: Received commission ₹4,000

Q2.

(2X10=20 Marks)

- a) Explain the importance, structure, and posting procedure of Ledger accounts in hospitality accounting. (CO2)
- b) Discuss the necessity of balancing Ledger accounts and how they support preparation of further statements. (CO3)
- c) Prepare Trading Account, Profit & Loss Account, and Balance Sheet of M/s Riverdale Hotel from the following Trial Balance as on 31-03-2025: (CO4)

Particulars	Debit (₹)	Credit (₹)
Capital	—	2,00,000
Purchases	85,000	—
Sales	—	1,50,000
Wages	10,000	—
Salaries	15,000	—
Rent	12,000	—
Commission Received	—	7,500
Cash in Hand	8,000	—
Debtors	30,000	—
Furniture	40,000	—
Creditors	—	22,500

Closing stock: ₹25,000.



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Q3.

(2X10=20 Marks)

- Elaborate the meaning, objectives, advantages, and limitations of preparing a Trial Balance in hotel accounting. (CO3)
- Differentiate capital expenditure and revenue expenditure with suitable examples. (CO1)
- Prepare a Trial Balance from the following balances as on 31-03-2025: (CO3)

S.No.	Particulars	Amount (₹)
1.	Capital	1,80,000
2.	Purchases	78,000
3.	Sales	1,20,000
4.	Wages	8,500
5.	Cash in Hand	6,000
6.	Rent	12,000
7.	Furniture	55,000
8.	Debtors	32,000
9.	Creditors	20,000

Q4.

(2X10=20 Marks)

- Discuss cost allocation and cost apportionment used in departmental accounting. (CO5)
- State the role of accounting software in maintaining hotel financial records. (CO2)
- From the following Journal entries of Green Leaf Café, prepare necessary Ledger accounts: (CO2)

- Started business with cash ₹1,80,000
- Purchased goods for cash ₹50,000
- Purchased goods on credit from Royal Traders ₹45,000
- Sold goods for cash ₹60,000
- Received cash from Royal Traders ₹20,000
- Paid wages ₹8,000
- Paid rent ₹6,500
- Withdrew cash for personal use ₹5,000

Q5.

(2X10=20 Marks)

- Explain the meaning and advantages of the Uniform System of Accounts for Hotels (USOA). (CO5)
- Describe the purpose and types of financial statements. Explain the relationship among Trading Account, Profit & Loss Account, and Balance Sheet. (CO4)
- Using the following departmental transactions of Sunrise Hotel, prepare a Departmental Income Statement under USOA: (CO5)
 - Restaurant Sales: ₹85,000
 - Bar Sales: ₹60,000
 - Restaurant Purchases: ₹45,000
 - Bar Purchases: ₹30,000
 - Restaurant Labour Cost: ₹12,000
 - Bar Labour Cost: ₹10,000
 - Restaurant Expenses: ₹8,000
 - Bar Expenses: ₹6,000

Common expense:
Electricity ₹10,000 (60% Restaurant, 40% Bar)